Wholesale and B2B Terms

Document code WB-04. Version 1.0. Effective 1 January 2024. This is a synthetic policy for the fictional company Northwind Gifts. It is used only for a software demonstration.

1. Eligibility

1.1 Who qualifies. A wholesale account is open to registered businesses that give a company registration number and a VAT number. Sole traders may apply with proof of trading, such as a tax registration letter.

1.2 Application time. Northwind Gifts reviews wholesale applications within 5 business days.

1.3 Retail customers. Retail customers cannot use wholesale prices. Wholesale prices are shown only after the account is approved.

2. Minimum orders

2.1 First order minimum. The first wholesale order must be at least £250 before VAT.

2.2 Reorder minimum. Every later wholesale order must be at least £150 before VAT.

2.3 Carton sizes. Most products are sold in cartons of 6 or 12 units. Single units cannot be ordered on a wholesale account.

2.4 Orders below the minimum. Orders below the minimum are not processed. The customer is told by email.

3. Pricing and discounts

3.1 Volume discounts. A discount is applied to each order based on the order value before VAT. Orders of £500 to £1,999 receive 5 percent. Orders of £2,000 to £4,999 receive 8 percent. Orders of £5,000 or more receive 12 percent.

3.2 Promotions. Volume discounts cannot be combined with retail promotions or vouchers.

3.3 Price protection. The price on a confirmed wholesale order is fixed for 90 days.

3.4 VAT. All wholesale prices are shown before VAT. VAT is added at the standard rate on the invoice.

4. Payment and credit

4.1 Prepayment for new accounts. A new account must pay in advance for its first 3 orders.

4.2 Credit approval. After 3 paid orders and a successful credit check, the customer may apply for credit terms.

4.3 Standard credit terms. Standard credit terms are payment within 30 days of the invoice date. The starting credit limit is £2,000.

4.4 Credit limit review. The credit limit is reviewed every 6 months. A higher limit can be agreed if the account has no late payments.

4.5 Late payment interest. Interest of 1.5 percent per month is charged on overdue invoices.

4.6 Account suspension. An account is suspended when any invoice is more than 15 days overdue. New orders are not accepted while the account is suspended.

4.7 Early payment discount. A discount of 2 percent is given when an invoice is paid within 10 days.

5. Orders and delivery

5.1 Lead time. Wholesale orders are dispatched within 3 business days of a confirmed order, or paid order for accounts without credit terms.

5.2 Delivery charges. Wholesale delivery charges are set out in the Shipping and Delivery policy.

5.3 Cancellations. A wholesale order can be cancelled free of charge before dispatch if it is under £1,000. For orders of £1,000 or more, a cancellation fee of 10 percent of the order value applies.

6. Returns and damages

6.1 Return window. Wholesale returns for change of mind must be made within 14 days of delivery and carry a 15 percent restocking fee, as set out in the Returns and Refunds policy.

6.2 Reporting damage. Damage and shortages must be reported within 48 hours of delivery.

6.3 Faulty goods. Faulty goods are covered by a 6 month warranty. See the Warranty and Product Quality policy.

7. Loyalty and promotions

7.1 No loyalty points. Wholesale accounts do not earn or redeem loyalty points.

7.2 Retail vouchers. Retail vouchers and promotion codes cannot be used on wholesale orders.

8. Ending an account

8.1 Notice. Either side may end the account with 30 days written notice. Open invoices must be paid in full.

8.2 Immediate closure. Northwind Gifts may close an account at once if an invoice is more than 60 days overdue.